Type MS · Branding and why it matters

Answer 1 of 9 · Question 2 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 8 · find part c in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid non-financial objective for *M&M* in the context of the business. • *M&M* may want to continue to help the environment by planting even more trees **(1)** • *M&M* want to maintain the support it gives to the schools it runs, helping disadvantaged children **(1)** **NB** Do not accept a non-financial objective that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Type MS · Branding and why it matters

Answer 1 of 9 · Question 2 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 8 · find part c in this mark scheme extract

Question Number	State **one** reason why *M&M* could dismiss an employee. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a reason why *M&M* could dismiss an employee in the context of the business. • *M&M* might dismiss an employee who continually arrives late on the tractor production line **(1)** • *M&M* may dismiss an employee in the sales department of tractors, whose absence has caused a loss of orders **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Type MS · Branding and why it matters

Answer 1 of 9 · Question 2 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 8 · find part c in this mark scheme extract

Question Number	Explain **one** reason why branding is important to businesses. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for why branding is important to businesses plus 2 further marks for explaining the importance, for a maximum of 3 marks. • Branding is important because it differentiates the products of a business from others **(1)** this helps customers identify the brand they want **(1)** and maintains loyalty **(1)** • By branding its products manufacturers develop a strong image of the business' product **(1)** this could increase the price of products **(1)** resulting in the strong brand being worth a great deal of money **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why branding is important to a business, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Branding and why it matters

Answer 1 of 9 · Question 2 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 8 · find part c in this mark scheme extract

Question Number	Explain **one** way businesses ensure that all employees have equal opportunities. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why businesses ensure that all employees have equal opportunities, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Businesses ensure that they employ both men and women **(1)** and any training offered is open to everyone **(1)** so that they do not disadvantage any one **(1)** • Employees are paid the same salary **(1)** if they carry out the same or similar work **(1)** so that they do not discriminate in any way **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why business ensure that all employees have equal opportunities, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Branding and why it matters

Answer 1 of 9 · Question 2 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 8 · find part c in this mark scheme extract

Question Number	Explain **one** reason why businesses maintain the quality of their products. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why businesses maintain the quality of their products plus 2 further marks for explaining why, for a maximum of 3 marks. • Consumers expect quality products **(1)** and to perform the function for which they were bought **(1)** failure to do this could lose customers to competitors **(1)** • By offering quality goods **(1)** a business could gain a competitive edge **(1)** which could result in charging higher prices **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why businesses maintain the quality of products with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Branding and why it matters

Answer 1 of 9 · Question 2 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 6 of 8 · find part c in this mark scheme extract

Question Number	**Option 1:** Increase promotion of all vehicles **Option 2:** Make improvements to all vehicles. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By increasing promotion more people will know about *M&M* and the different types of vehicles they have on sale • **Option 2** – By introducing new features to the cars such as an automatic door locking customers may be interested in **AO3** • **Option 1** – This could mean that more people would be interested and perhaps visit the showrooms where the vehicle are sold to try the vehicles out or purchase them • **Option 2** – Customers may prefer to have the latest technology available **AO4** • **Option 1** – However, there is no guarantee that people will buy the vehicles unless they have driven them or been recommended to buy one • **Option 2** – However, designing this feature could be expensive and customers may not wish to buy the vehicle because of the increase in price	**(9)**

Type MS · Branding and why it matters

Answer 1 of 9 · Question 2 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 7 of 8 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Branding and why it matters

Answer 1 of 9 · Question 2 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 8 of 8 · find part c in this mark scheme extract

Question Number	Define the term **autonomy.** **Answer**	Mark

1 (a) (i)	**AO1 = 1 mark** **C** – Tertiary	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **A** – Rent	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	We are aware that there is no correct answer to this item. Because of this, all candidates will be awarded 1 mark for this question 1 (a) (iii). An error was made with the multiple-choice distractors. We take our responsibility of ensuring the accuracy of our assessments very seriously and we are reviewing candidate responses to ensure no one is disadvantaged.	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO2 = 1 mark** **D** – Could charge lower prices	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **B** – Reinvested profit	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **A** – 4.03%	**(1)**

Type MS · Branding and why it matters

Answer 2 of 9 · Question 1 part c · 1 mark

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for correct definition of crowdfunding. • Raising money from many people for a new project via the internet **(1).**	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for correct definition of branding. • A name/symbol/design that identifies and differentiates a product from other products **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 = 1 mark** Award 1 mark for a correct example of a diseconomy of scale in the context of the business. • Communication between *Yellow*'s clothing factory and the retail shops could become difficult in different countries **(1).** Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark

Type MS · Branding and why it matters

Answer 2 of 9 · Question 1 part c · 1 mark

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

1 (e)	**AO2 = 2 mark** 252 x .17 **(1)** = 42.84 252 + 42.84 = 294.84 **(1)** **OR** 252 x 1.17 **(1)** = 294.84 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**
Question Number	**Answer**		**Mark**
1 (f)	**AO1 = 3 marks** Award 1 mark for identification of an advantage of a business having loyal customers, plus 2 further marks for explaining this advantage for a maximum of 3 marks. • An advantage will be repeat custom **(1)** if customers are loyal they will only shop at that business **(1)** which could increase market share/revenue **(1).** Answers that list three advantages with no explanation will get a maximum of 1 mark. Accept any other appropriate response.		**(3)**

Type MS · Branding and why it matters

Answer 2 of 9 · Question 1 part c · 1 mark

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The quality of the T-shirts will be better. • Reduction in costs of making the T-shirts. **AO3** • *Yellow*'s reputation will be enhanced leading to higher sales. • There will be fewer returns of T-shirts, which could lead to increased profitability for the manufacturer.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Branding and why it matters

Answer 2 of 9 · Question 1 part c · 1 mark

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark

Type MS · Branding and why it matters

Answer 3 of 9 · Question 2 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 1 of 7 · find part b in this mark scheme extract

	Answer	
2 (a)	**A02 - 1 mark** Award 1 mark for a valid fringe benefit *Aude Rose* could offer its employees in the context of the business. • It could offer its employees training for a qualification as a florist **(1)** **NB** Do not accept a fringe benefit that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

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Type MS · Branding and why it matters

Answer 3 of 9 · Question 2 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 2 of 7 · find part b in this mark scheme extract

Question Number	State **one** reason why branding is important to *Aude Rose*. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why branding is important to *Aude Rose* in the context of the business. • It makes the business stand out against other flower shops in Paris **(1)** **NB** Do not accept a reason that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Branding and why it matters

Answer 3 of 9 · Question 2 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 3 of 7 · find part b in this mark scheme extract

Question Number	Explain **one** impact of ineffective communication on a business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of an impact of ineffective communication on a business, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • More mistakes could be made **(1)** as employees will not know what they are doing **(1)** leading to low customer satisfaction **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** advantage of a partnership. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of an advantage of a partnership, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • Different partners may have different skills **(1)** and be able to offer a wider range of services **(1)** which could lead to increased business **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

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Type MS · Branding and why it matters

Answer 3 of 9 · Question 2 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 4 of 7 · find part b in this mark scheme extract

Question Number	Explain **one** disadvantage to a business of product orientation. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a disadvantage to a business of product orientation, plus 2 further marks for explaining that disadvantage, for a maximum of 3 marks. • Product may not suit the needs of the customer **(1)** so potential customers may go elsewhere **(1)** resulting in the business losing sales **(1)** **NB** Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

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Type MS · Branding and why it matters

Answer 3 of 9 · Question 2 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 5 of 7 · find part b in this mark scheme extract

Question Number	*Aude Rose* is considering two options. **Option 1**: sponsor a local event such as a flower show **Option 2**: advertise, using leaflets around Paris. Justify which **one** of these two options *Aude Rose* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – The event will increase the awareness of her flower shop • **Option 2** – Leaflets can be handed out to passing tourists to draw them to the flower shop **AO3** • **Option 1** – If the flower show is a success, potential customers will have a positive opinion of *Aude Rose* • **Option 2** – The leaflet can include more information such as shop opening hours and the range of flowers being sold **AO4** • **Option 1** – However, these events can be expensive to sponsor so whilst sales may increase there is no guarantee profits will increase • **Option 2** – However, this would mean that someone would have to take time out of the shop to hand out the leaflets or increase costs by paying someone to hand them out	**(9)**

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Type MS · Branding and why it matters

Answer 3 of 9 · Question 2 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 6 of 7 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Branding and why it matters

Answer 3 of 9 · Question 2 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 7 of 7 · find part b in this mark scheme extract

Question Number	Define the term **variable costs.** **Answer**	**Mark**

Type MS · Branding and why it matters

Answer 4 of 9 · Question 2 part a · 1 mark

2024 NOV · Paper 01 · extract 1 of 7 · find part a in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a reason why branding is important to *Saha* in the context of the business. • The name/logo of the business should be recognisable to hotels and restaurants **(1)** • to distinguish *Saha*'s robots from those of competitors such as Xio **(1)** • To build relationships and customer loyalty with customers who buy for the hospitals **(1)** **NB** Do not accept a reason that is not in the context of *Saha* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** task that an employee working in the production department at *Saha* might do. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid task that an employee in the production department might do, in the context of the business. • The employee may work on the production line fitting batteries to the robots **(1)** • The employee may be responsible for the final quality testing of each robot before they are delivered to restaurants **(1)** **NB** Do not accept a task that is not in the context of *Saha* **Accept any other appropriate response.**	**(1)**

Type MS · Branding and why it matters

Answer 4 of 9 · Question 2 part a · 1 mark

2024 NOV · Paper 01 · extract 2 of 7 · find part a in this mark scheme extract

Question Number	Explain **one** disadvantage for a business of using flow production to produce its goods. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for one disadvantage to a business of using flow production, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • The employees may get bored on the production line **(1)** as job roles are likely to be monotonous **(1)** leading to poorly motivated employees/high labour turnover **(1)** • The production facility may be inflexible **(1)** as the goods produced are standardised/similar **(1)** which may prevent the business from tailoring its products to individual tastes of its customers **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages of a business using flow production with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Branding and why it matters

Answer 4 of 9 · Question 2 part a · 1 mark

2024 NOV · Paper 01 · extract 3 of 7 · find part a in this mark scheme extract

Question Number	Explain **one** method of above the line promotion a business may use to increase its sales revenue. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for an above the line promotion method a business might use to increase its sales revenue, plus 2 further marks for explaining this method, for a maximum of 3 marks. • A business may use television advertising **(1)** as this form of advertising may be viewed by a wide audience **(1)** leading to increased awareness of the product **(1)** • A business could use billboards **(1)** which can be seen by many people as they drive in their cars or walk in busy areas **(1)** leading to increased brand recognition of the products **(1)** **NB** No marks are awarded for a definition. Answers that list three above the line promotion methods a business might use to sell more products, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Branding and why it matters

Answer 4 of 9 · Question 2 part a · 1 mark

2024 NOV · Paper 01 · extract 4 of 7 · find part a in this mark scheme extract

Question Number	Explain **one** reason why the proximity to materials is important to a business when locating to a new factory. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why proximity of material is important to a business when locating to a new factory, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Locating close to materials may reduce delivery costs **(1)** as the material only has to travel a short distance to the new factory **(1)** which reduces total cost/increases the profitability of the business **(1)** • Access to materials which are close to the new factory may save time **(1)** because if the business runs out of inventory **(1)** it could be delivered quickly and prevent delays in production **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why proximity of material is important, with no explanation will get a maximum of 1 mark **Accept any other appropriate response.**	**(3)**

Type MS · Branding and why it matters

Answer 4 of 9 · Question 2 part a · 1 mark

2024 NOV · Paper 01 · extract 5 of 7 · find part a in this mark scheme extract

Question Number	When *Saha* expands its business it will require additional finance. It is considering two options: **Option 1:** crowdfunding **Option 2:** loan capital Justify which **one** of these two options *Saha* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – *Saha* may appeal to the public for funding to expand its sale of robots into all continents of the world • **Option 2** – *Saha* could use a loan to build new factories to manufacture the new robots for homes **AO3** • **Option 1** – Investors may be willing to contribute small amounts to the expansion which do not have to be repaid/does not increase the debt of *Saha* • **Option 2** – It is possible that a loan for a large amount of money can be received from the bank quickly to enable *Saha* to pursue its expansion programme **AO4** • **Option 1** – However, there is no guarantee that sufficient funds would be raised through crowdfunding to allow *Saha* to pursue its ambitious expansion plans • **Option 2** – However, the loan will incur interest rates that have to be paid in addition to the loan amount which will increase costs/reduce profitability	**(9)**

Type MS · Branding and why it matters

Answer 4 of 9 · Question 2 part a · 1 mark

2024 NOV · Paper 01 · extract 6 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Branding and why it matters

Answer 4 of 9 · Question 2 part a · 1 mark

2024 NOV · Paper 01 · extract 7 of 7 · find part a in this mark scheme extract

Question Number	Define the term **legislation.** **Answer**	Mark

Type MS · Branding and why it matters

Answer 5 of 9 · Question 1 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Capital intensive** **A –** Kaizen - this is not correct because it is a method of lean production **B** – Job production - this is not correct because it is usually labour intensive **C** – Just-in-time - this is not correct because this is a method of lean production	**(1)**

Question Number	Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Penetration** **A –** Skimming **-** this is not correct because it is when a business charges a high price to begin with **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **D –** Cost plus - this is not correct because it is adding a mark-up to the product	**(1)**

Type MS · Branding and why it matters

Answer 5 of 9 · Question 1 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **(1)** Select **one** answer **The only correct answer is B – Paying suppliers later** **A** – Paying overhead costs sooner - this is not correct because it will increase the cash outflow **C** – Increasing the rate of pay for its employees- this is not correct because it will increase the cash outflow **D** –Decreasing the net cash flow - this is not correct because this means increased cash outflows compared to cash inflows	**(1)**

Question Number	Which **one** of the following is a financial business aim? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Survival** **A –** Challenge - this is not correct because it is a non-financial business aim **B –** Independence - this is not correct because it is a non-financial business aim **D –** Control - this is not correct because it is a non-financial business aim	**(1)**

Type MS · Branding and why it matters

Answer 5 of 9 · Question 1 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 30 855.00 CNY** **A –** 550.00 CNY - this is not correct because it is the cost of one electric bicycle in £ **B –** 3 300.00 CNY - this is not correct because it is £550 x 6 bicycles **C –** 5 142.50 CNY - this is not correct because it is £550 x the exchange rate of 9.35	**(1)**

Question Number	Using **Figure 1** which **one** of the following is correct for *CCT*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of 412 658 CYN** **A –** it made a loss of 1 031 646 CYN - this is not correct because it is the total costs **B –** it made a loss of 412 658 CYN - this is not correct because it is the total costs minus revenue **D –** it made a profit of 1 031 646 CYN - this is not correct because it is the total costs	**(1)**

Question Number	Define the term **branding**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **branding**. • A name or logo that distinguishes it from its competition **(1)**	**(1)**

Type MS · Branding and why it matters

Answer 5 of 9 · Question 1 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Define the term **autonomy**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Employees are given the authority to make decisions about how they work **(1)**	**(1)**

Question Number	State **one** method of secondary market research *CCT* could use to collect market data. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method of secondary market research *CCT* could use to collect market data. • The internet to search for other bicycle-hire businesses in the local area **(1)** **NB** Do not accept a way that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to **two** decimal places, the current ratio for 2024. You are advised to show your working **Answer**	**Additional guidance**	Mark
1 (e)	**A02 - 2 marks** 561 258/ 233 098 **(1)** = 2.41 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Branding and why it matters

Answer 5 of 9 · Question 1 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** benefit to the business owner of operating as a private limited company. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a benefit to an owner of a private limited company, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • A private limited company has limited liability **(1)** which reduces the risk of ownership **(1)** as personal possessions will be protected in the event the business has to pay back any outstanding debts **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the concerns *CCT* may have of introducing this app for its customers. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers might be reluctant to download the app for a one-off biking experience • It can be costly for *CCT* to introduce an app where customers can book the bicycles. **AO3** • Its customers may have a lot of apps on their phones and might not see the point of downloading another one if they are only using it for a short amount of time whilst on holiday • *CCT* may not have the experience to create an app so may need to pay a designer to build the app and pay someone to maintain the app	**(6)**

Type MS · Branding and why it matters

Answer 5 of 9 · Question 1 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** financial method of motivation *CCT* could use with its employees. **Answer**	Mark

Type MS · Branding and why it matters

Answer 6 of 9 · Question 2 part b · 1 mark

2025 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a valid factor *Four Fitness* may consider that could influence the location of a new gym • The proximity to suitably qualified gym instructors who will want to work at the gym **(1)** **NB** Do not accept a factor that is not in the context of *Four Fitness*. **Accept any other appropriate response**.	**(1)**

Type MS · Branding and why it matters

Answer 6 of 9 · Question 2 part b · 1 mark

2025 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	State **one** reason why branding is important to *Four Fitness.* **Answer**	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid reason why branding is important to *Four Fitness.* • It makes the highly experienced gym instructors stand out against its competitors **(1)** **NB** Do not accept a reason that is not in the context of *Four Fitness.* **Accept any other appropriate response.**	**(1)**

Question Number	Explain **one** advantage to a business of using total quality management. **Answer**	Mark
2 (c)	**AO1 - 3 marks** Award 1 mark for identification of an advantage to a business of using total quality management, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • Increased customer satisfaction **(1)** as managing quality is the responsibility of all employees **(1)** so they will be fully trained to complete their role effectively and consistently **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Branding and why it matters

Answer 6 of 9 · Question 2 part b · 1 mark

2025 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** problem a business might face as a result of ineffective communication. **Answer**	Mark
2 (d)	**AO1 - 3 marks** Award 1 mark for a problem a business might face as a result of ineffective communication, plus 2 further marks for explaining this problem, for a maximum of 3 marks. • Employees may become demotivated as they do not understand what they have to do **(1)** leading to lower levels of productivity **(1)** and increased costs for the business **(1)** **NB** Answers that list three problems with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Question Number	Explain **one** disadvantage to a small business of borrowing money from a bank. **Answer**	Mark
2 (e)	**AO1 - 3 marks** Award 1 mark for a disadvantage to a small business of borrowing money from a bank, plus 2 further marks for explaining that disadvantage, for a maximum of 3 marks. • Borrowing from a bank means the business has to pay back the loan with interest **(1)** which will increase its costs **(1)** leading to a reduction in profit **(1)** **NB** Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Branding and why it matters

Answer 6 of 9 · Question 2 part b · 1 mark

2025 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	*Four Fitness* is looking to introduce a new service to increase its market share. It is considering two options. **Option 1:** as part of its monthly subscription price, members are given a 'Technogym Electronic Key' which is inserted into the gym equipment. The key will track and store their progress. An instructor helps them to analyse their progress. **Option 2:** introduce links to online fitness classes on its website which can be accessed from home. Customers will be charged for each fitness class downloaded. **Indicative content**	**Mark**
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – This can create a USP for the gym making it stand out from its competitors • **Option 2** – This will add an extra element to its website as it is currently for information only **AO3** • **Option 1** – This can draw new customers in as they will also have access to specialist face to face advice from the instructor as part of the membership package • **Option 2** – This may draw customers in from further away as they will not have to be on site to access the videos and if they feel it is worth it they are more likely to pay for more videos leading to an increase in market share **AO4** • **Option 1** – However, if customers do not want access to this service as part of their membership they may feel they are being overcharged and the gym could be at risk of losing customers to its competitors therefore decreasing its market share • **Option 2** – However, advertising costs will increase to widely draw in customers in as some may not want to pay for the videos if they can access free alternatives on the internet	**(9)**

Type MS · Branding and why it matters

Answer 6 of 9 · Question 2 part b · 1 mark

2025 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Branding and why it matters

Answer 6 of 9 · Question 2 part b · 1 mark

2025 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Define the term **economies of scale.** **Answer**	Mark

Type MS · Branding and why it matters

Answer 7 of 9 · Question 3 part b · 2 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of **person specification.** • A profile showing the characteristics of a person needed to do a particular job **(1)**	**(1)**

Q. No.	Outline **one** reason why branding is important to *Jimmy Choo*. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why branding is important, plus 1 further mark for linking it to the context of the question. • Branding ensures that customers recognise the JC logo on its handbags when it is sold **(1)** this differentiates *Jimmy Choo* from its competitors **(1)** **NB** Do not accept a reason that is not in the context of *Jimmy Choo*. **Accept any other appropriate response.**	**(2)**

Q. No.	Calculate, to **two** decimal places, the percentage increase on this *Jimmy Choo* handbag when it is sold. **Answer**	**Additional Guidance**	**Mark**
3 (c)	**A02 - 2 marks** 2 450 – 1 590 = 860 **(1)** 860/1 590 x 100 = 54.09 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Type MS · Branding and why it matters

Answer 7 of 9 · Question 3 part b · 2 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Q. No.	Analyse why *Jimmy Choo* asks all candidates applying for a vacancy to complete and application form. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • A completed application form gives *Jimmy Choo* important details of each applicant, such as address and previous employments • If an applicant is applying for the role of sales manager, they can include all their experience of working and selling handbags **AO3** • This means that *Jimmy Choo* can have the same data from each applicant to make a comparison • *Jimmy Choo* can then compare the application forms to see which applicant would be more suited to the vacancy and call them for interview	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Branding and why it matters

Answer 7 of 9 · Question 3 part b · 2 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Q. No.	**Option 1:** induction training **Option 2:** off-the-job training. Justify which **one** of these two options *Jimmy Choo* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – If all employees have induction training it gives them the opportunity to become familiar with their working environment in the production of shoes • **Option 2** – By training employees off site they are trained by experts in the various areas such as well as making the handbags and shoes but also how to display them **AO3** • **Option 1** – This training enables them to feel part of the business and have a better understanding of how the business works • **Option 2** – Employees can gain up to date skills from experts, resulting in fewer errors when they commence making handbags **AO4** • **Option 1** – However, induction training does not always benefit because they may not work in that specific department, they had their induction training in • **Option 2** – However, the cost of training an employee off-site can be expensive, and the training is not guaranteed that it will match the job	**(9)**

Type MS · Branding and why it matters

Answer 7 of 9 · Question 3 part b · 2 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Branding and why it matters

Answer 7 of 9 · Question 3 part b · 2 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the percentage of *Jimmy Choo* shops in the UK. **Answer**	Additional Guidance	Mark

Type MS · Branding and why it matters

Answer 8 of 9 · Question 1 part g · 6 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D - Manufacture of finished goods** A is not correct because production does not provide services B is not correct because production is not the exchange of goods C is not correct because extraction of raw materials is not production	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **The only correct answer is B - The person is given support from an established business** A is not correct because a franchise cannot buy supplies from anyone C is not correct because a franchise is not guaranteed a set wage D is not correct because the profits are not shared in a franchise	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is D - 50.94%** A is not correct because 6.63% calculation incorrect B is not correct because 1 600 / 1 060 = 15.09 C is not correct because 1 600 – 1 060 = 0.52 / 1 600 = 33.75%	**(1)**

Type MS · Branding and why it matters

Answer 8 of 9 · Question 1 part g · 6 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is A - Higher loan repayments** B is not correct because a bank increasing the interest rates does not affect labour costs C is not correct because a bank increasing interest rates would possibly reduce net cash flow D is not correct because a bank increasing interest rates would possibly reduce sales	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **The only correct answer is B - It is funded by government** A is not correct because a public corporation is not owned by the directors C is not correct because a public corporation does not aim to maximise profit D is not correct because a public corporation is accountable to the public	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **The only correct answer is C - £980 000** A is not correct because - £40 000 is cash inflow minus outflow B is not correct because £40 000 is outflow minus inflow D is not correct because opening balance £1020 000 plus outflow £400000 minus inflow £360 000	**(1)**

Type MS · Branding and why it matters

Answer 8 of 9 · Question 1 part g · 6 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of commission. • Payment made to an employee linked to the number of sales made (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of revenue. • Money from the sale of goods/services (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason for having a short span of control in the context of the business. • This allows the directors of *HRMW* to communicate with all manufacturing departments such as boxing gloves and hockey sticks (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 92 322 – 85 083 = 7 239 (1) 7 239/85 038 = 8.51% (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Branding and why it matters

Answer 8 of 9 · Question 1 part g · 6 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a reason for sponsoring an event, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Sponsorship is making a financial contribution to an event (1). This makes more people aware of the business's products (1). This could, in turn, increase sales of those products (1). Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It differentiates its football products from those of its competitors. • It helps customers to recognise its own logo that appears on all its products. **AO3** • Advertising the footballs is easier because customers are aware of the brand name and the quality of products. • Customers are more likely to buy a *HRMW* hockey stick, rather than an unbranded product, when they see the logo.	**(6)**

Type MS · Branding and why it matters

Answer 8 of 9 · Question 1 part g · 6 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Branding and why it matters

Answer 8 of 9 · Question 1 part g · 6 marks

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark

Type MS · Branding and why it matters

Answer 9 of 9 · Question 1 part g · 6 marks

2023 JUN · Paper 01 · extract 1 of 7 · find part g in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C – Marketing** **A –** Human resources – this is not the correct answer as it is responsible for employees **B** – Finance – this is not the correct answer as it is responsible for money **D** – Production – this is not the correct answer as it is responsible for making goods	**(1)**

Question Number	Which **one** of the following is the difference between cash inflow and cash outflow? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – Net cash flow** **A –** Opening balance – this is not correct as it is the amount of cash a business expects to have at the start of a month **C –** Closing balance - this is not correct as it is the amount of cash a business expects to have at the end of a month **D –** Cash flow forecast - this is not correct as it is the account which predicts expected receipts and expenses over a future time period	**(1)**

Type MS · Branding and why it matters

Answer 9 of 9 · Question 1 part g · 6 marks

2023 JUN · Paper 01 · extract 2 of 7 · find part g in this mark scheme extract

Question Number	Which **one** of the following is the sector that converts raw materials into products? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Secondary** **A** – Public – this is not correct as it is business organisations owned by government **B** – Tertiary – this is not correct as it is the provider of services **C** – Primary – this is not correct as it is the extraction of raw materials from the earth	**(1)**

Question Number	Which **one** of the following is an example of a good? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – Motor vehicle** **B –** Financial advice - this is not correct as it is an example of a service **C –** Car washing– this is not correct as it is an example of a service **D –** Gardening – this is not correct as it is an example of a service	**(1)**

Question Number	Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – €320 973.75** **A –** €317 857.50 – this is not the correct answer as it is an increase of 2% **B –** €319 415.63 – this is not the correct answer as it is an increase of 2.5% **D –** €322 531.88 – this is not the correct answer as it is an increase of 3.5%	**(1)**

Type MS · Branding and why it matters

Answer 9 of 9 · Question 1 part g · 6 marks

2023 JUN · Paper 01 · extract 3 of 7 · find part g in this mark scheme extract

Question Number	Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is B – 76** **A –** 75 – this is not the correct answer as it is the correct answer minus one **C –** 77 – this is not the correct answer as it is the correct answer plus one **D –** 78 – this is not the correct answer as it is the correct answer plus two	**(1)**

Question Number	Define the term **limited liability** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **limited liability**. • When the business owner is only responsible for the original amount of money invested in the business **(1)**	**(1)**

Question Number	Define the term **social enterprise** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **social enterprise**. • A business that aims to improve human or environmental well-being **(1)**	**(1)**

Type MS · Branding and why it matters

Answer 9 of 9 · Question 1 part g · 6 marks

2023 JUN · Paper 01 · extract 4 of 7 · find part g in this mark scheme extract

Question Number	State **one** way *Irsi Chocolatier* could use the Boston matrix. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a way *Irsi Chocolatier* could use the Boston matrix • *Irsi Chocolatier* could use the dog category to see the chocolates that are not worth making anymore **(1)** **NB** Do not accept a way that is not in the context of *Irsi Chocolatier*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to two decimal places, the cost of these chocolates after the discount has been applied. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 75.50 x 0.06 = 4.53 **(1)** 75.50 – 4.53 = 70.97 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Branding and why it matters

Answer 9 of 9 · Question 1 part g · 6 marks

2023 JUN · Paper 01 · extract 5 of 7 · find part g in this mark scheme extract

Question Number	Explain **one** benefit for a business that uses test marketing. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit for a business that uses test marketing, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • The risk of failure is reduced **(1)** as the new product is only tested in one area gaining feedback from customers **(1)** leading to modifications being made before the final launch **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Branding and why it matters

Answer 9 of 9 · Question 1 part g · 6 marks

2023 JUN · Paper 01 · extract 6 of 7 · find part g in this mark scheme extract

Question Number	Analyse the importance of branding for *Irsi Chocolatier*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As a business that started in 1989 it has been able to develop and maintain a strong image for its chocolates and sweets • Branding against local competing chocolate shops helps *Irsi Chocolatier* stand out **AO3** • This is important as the brand helps create recognition of the business allowing *Irsi Chocolatier* to continue as a long-standing business • As the brand becomes stronger a higher price for the products can be charged and new products being introduced have a higher success rate due to its current branding	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Branding and why it matters

Answer 9 of 9 · Question 1 part g · 6 marks

2023 JUN · Paper 01 · extract 7 of 7 · find part g in this mark scheme extract

Question Number	State **one** method *Irsi Chocolatier* could use to improve its competitive position. **Answer**	Mark